

EVERYTHING YOU NEED TO KNOW ABOUT MARKET RISK

Does the term, Market Risk scare you? Does it make you feel that you could lose your hard-earned money if you try to invest? Thankfully, that does not have to be the case. While it is important to be aware that risk exists in investing, when you understand the how and why of market fluctuations, you can put some doubts to rest and approach investing with the right knowledge and frame of mind.

What is Market Risk? Why does it exist?

Market risk can also be referred to as market volatility or market fluctuations and has been around for as long as investing itself. Market risk is an inevitable part of the investment journey and it is important to remember that it is not always a bad thing.

Market risk can be defined as the possibility of losses due to fluctuations in the financial market. Let us look at this with an example: Mr. Kumar invests in Company X which is a tech start up. Everything about the company's products looks like they will sell well and earn a profit. Unfortunately, just before Company X can launch its first product range, Company A+, a well-established tech brand launches a similar range of products. As you can imagine, Company A+ has been around for a while, has built a good reputation and has loyal customers, and its products sell much better than Company X.

Therefore, Company X does not make a big profit on its products and Mr. Kumar does not receive the return on investment that he hoped for. In fact, if Company X is forced to shut down, Mr. Kumar might not even get his investment capital back. However, this was a risk that Mr. Kumar was aware that he was taking when he first invested. There was always the possibility that Company X's products could have been the first of their kind on the market and made a huge profit which would have benefitted Mr. Kumar, but because the future is unpredictable, there will always be risks. It is important to note here that higher risk is typically associated with higher returns as could have been the case if Company X had in fact caused a disruption in the tech market.

Similarly, when investing in an instrument like mutual funds, there is always an exposure to risk. Investors are indirectly investing in equity of various companies and returns therefore depend on how those companies are performing in the market. During a bear market or growth phase, most companies show profits and the investors benefit. However, during a bear phase or market downturn, companies could suffer losses which in turn affects the investors.

Levels of Risk

What exactly then are investors supposed to do to protect their investments from risk? First, it is important to remember that risk levels are not uniform across companies or mutual fund schemes. There are companies that can withstand risk better than others, while some fold under extreme loss.

Returning to our example above; in a situation where both Company A+ and Company X are faced with a market recession, Company A+ which is a large, well-established company is likely to be much less affected than start-up Company X. This is because Company A+ already has a large market share and losing some profit will not badly affect its ability to continue manufacturing its products. Company X on the other hand, that was depending on the profits of its first sales to finance production of its second range of products, might have to halt operations until it finds another way to raise capital.

Similarly, in the markets there are companies with a range of market shares. These can be broadly classified as large-cap, mid-cap, and small-cap companies based on market capitalisation. Large-cap companies are least affected by market risk while small-cap are affected the most, with mid-cap falling in the middle. What this means for investors, is that they get to choose where

and how they want to invest in order to mitigate some of the inherent risk. For example, an investor could choose to invest across market caps to capitalise on the larger growing potential of small-cap companies, while gaining some capital protection from the less risky large-cap companies.

Understanding Risk Appetite

Risk appetite is the flip side of market risk. It is directly related to the investors and their ability to tolerate risk. Let us consider Mr. Kumar from our earlier example, because he invested in a high-risk company, we can say that Mr. Kumar has a high risk appetite. Another person might have chosen instead to invest in Company A+ because they could not tolerate the idea of losing money if things didn't work out for Company X.

Risk appetite is a personal aspect and something that each investor needs to decide for him/herself. Factors that could affect your risk appetite include your age, income, financial responsibilities, and the duration for which you plan to stay invested. In fact, assessing your own risk appetite is one of the first things each investor should do before you choose an investment instrument. Risk appetites could range from aggressive (high) to moderate (medium) and conservative (low). According to your own assessment, you can then proceed to choose investment options that suit you best.

